

23-3a Consumption

Consumption (spending by households on goods and services, with the exception of purchases of new housing)

is spending by households on goods and services, with the exception of purchases of new housing. Goods include durable goods, such as automobiles and appliances, and nondurable goods, such as food and clothing. Services include such intangible items as haircuts and medical care. Household spending on education is also included in consumption of services (although one might argue that it would fit better in the next component).